no doubt added by a devilish market simply to frustrate Elliott Wave analysts who thought they knew how long the bull market would last!

Finally, 8 years between highs in 1987 and 1995 would equal the 8 years between the 1929 and 1937 highs, made during the *last* declining phase in a Kondratieff economic cycle (see Appendix B).

An excellent market solution to the Fibonacci durations pointing both to 1987 *and* 1995, then, will be to create *two* peaks, one capping the roaring rise into 1987 and the second ending the slower advance in force since that time, in 1995.

COMMENTS ON THE ULTIMATE PRICE PEAK

As evidenced by the published works of the foremost Elliott Wave practitioners, Fibonacci relationships among price gains attained by waves have proved invaluable numerous times in forecasting years in advance the eventual termination levels of trends in the stock market. The projection in *Elliott Wave Principle* for wave V was fulfilling in that regard, but not the final word on the subject. "Our price projection for the Dow," we said, "comes from the tenet that two of the impulse waves in a five-wave sequence, especially when the third is the extended wave, tend toward equality in time and magnitude." From the perspective of 1978, we applied the guideline in rough fashion to present a general idea of the bull market's price potential, saying that since wave I was about a 5 times multiple, wave V by the same multiple would top near 2860. In fact, the exact calculation of equality with wave I projected the 1987 high almost to the point. Wave I traveled from 41.22 to 195.15, a multiple not of 5 times, but, to be precise, of 4.716 times. Wave V began at 577.60, from which point a 4.716 multiple is **2723.96**. The actual closing high preceding the 1000-point crash of 1987 was **2722.42** on August 25, attaining a perfect equality with wave I.

Although the Dow did not budge in the four years after our 1978 projection was made, in September 1982, a month after the final low in the market's basing process, *The Elliott Wave Theorist* revised the original Elliott Wave projection and forecasted that wave V would carry to near **3885** (later **3686**) from its then-current level of 900. The forecast for an advance of three thousand points appeared outrageous. For the preceding seven years, the DJIA had meandered in the 740-1020 range, not advancing more than three *hundred* points. It was the equivalent of predicting a rise to approximately